



Filling the Gaps CNG filling stations are skewed geographically towards a few states, and this may hamper its adoption

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roducing advanced iCNG technology, which is currently offered in its entry-level cars. It was the first to introduce twin-cylinder technology and AMT (automated manual transmission) in the CNG segment.

Vinay Pant, Head of Marketing at Tata Motors Passenger Vehicles Ltd, says the introduction of twin-cylinder technology was a game changer. “This innovation not only enhanced the appeal of our vehicles but also attracted a broader spectrum of customers, including young buyers who value both cost efficiency and advanced features. We have expanded our product range to include CNG options across mid- to high-level variants,” says Pant.

The carmaker witnessed a 120% surge in CNG sales in FY24 over FY23, with its penetration in the segment increasing from 8% in FY23 to 15% in FY24.

REGULATION PUSH

Despite a surge in CNG prices after Covid-19, the cost of ownership is still lower than for petrol and diesel. According to a report by Deloitte, CNG offers better mileage and costs about 40–50% less per km than petrol and diesel. Plus, carbon emissions are lower by about 5–10%.

“The running costs for a CNG car are relatively lower. Even as CNG prices have increased over the past couple of years, the total cost of ownership of a CNG car still works out favourably for consumers,” observes ICRA’s Gupta.

Delhi-based advocate Ravinder Kumar Gupta concurs. He notes that with his CNG car, his weekly travel expenses amount to just ₹500, with a daily commute costing him around ₹100. In contrast, using his petrol car would cost him between ₹1,000 and ₹2,000 per week on fuel and ₹300 daily.

That brings us to the changes in the regulatory landscape that have helped CNG sales. In fact, CNG sales have come at the cost of diesel. Diesel vehicles’ market share plunged from 37% in FY18 to 18% in FY24. That’s because of stricter government norms. It introduced the CAFE (Corporate Average Fuel Efficiency/Economy) norms in 2018 to reduce fuel consumption and decrease carbon dioxide (CO₂) emissions.

Then, in 2023, the government introduced updated guidelines for domestic gas pricing. According to the new rules, the price of natural gas has to be set at 10% of the monthly average price of the Indian crude oil basket.

Over the years, as fuel prices peaked, CNG became more attractive. But even when petrol and diesel prices were stable, stricter BSES (Bharat Stage Emission Standards) norms hit diesel sales. Petrol, though, continued its growth despite a small fall in market share. BSES, introduced in 2000, has undergone several revisions. In 2010, the government introduced Bharat Stage (BS) III standards; in 2017, BS IV was introduced; and BS VI in 2020. The government skipped BS V norms, citing the urgent need to bring carbon emissions down.

The latest iteration, BS VI that was introduced in 2020,